

Castanea Partners Fund III, L.P.

*Financial statements as of and for the year ended June 30, 2025
and Independent Auditors' Report*

CASTANEA PARTNERS FUND III, L.P.

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Independent Auditors' Report

To the Partners of Castanea Partners Fund III, L.P.:

Opinion

We have audited the financial statements of Castanea Partners Fund III, L.P. (the "Fund"), which comprise the statement of assets, liabilities and partners' capital, including the statement of portfolio investments, as of June 30, 2025, and the related statements of operations, changes in partners' capital, and cash flows for the year then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Fund as of June 30, 2025, and the results of its operations, changes in partners' capital, and cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America ("GAAS"). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Fund and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Fund's ability to continue as a going concern for one year after the date that the financial statements are issued.



Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Fund's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Fund's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

CBIZ CPAs P.C.

Boston, Massachusetts
October 29, 2025

Castanea Partners Fund III, L.P.
Statement of Assets, Liabilities and Partners' Capital

June 30, 2025

Assets

Portfolio investments, at fair value (cost \$21,447,685)	\$	-
Cash and cash equivalents		755,630

Total Assets

\$ 755,630

Liabilities

Accrued professional fees	\$	222,099
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Partners' Capital

General partner		(2,170,166)
Limited partners		2,703,697

Total partners' capital		533,531
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Total Liabilities and Partners' Capital

\$ 755,630

The accompanying notes are an integral part of these financial statements.

Castanea Partners Fund III, L.P.
Statement of Portfolio Investments
June 30, 2025

Company/Instrument		Number of Shares/Units	Cost of Investment	Estimated Market or Fair Value	Percentage of Partners' Capital
Thorley Industries LLC Preferred Units	(1)	5,748,325	\$ 21,447,685	\$ -	0.00%
Total Portfolio Investments			<u>\$ 21,447,685</u>	<u>\$ -</u>	<u>0.00%</u>

Country and Industry

(1) United States; Wholesale Marketing

The accompanying notes are an integral part of these financial statements.

Castanea Partners Fund III, L.P.
Statement of Operations
For the year ended June 30, 2025

Expenses

Professional fees and other operating expenses	\$ <u>349,971</u>
Total expenses	<u>349,971</u>
Net investment loss	<u>(349,971)</u>
Net realized gain on sale of portfolio Investments	190,036
Net change in unrealized depreciation of portfolio Investments	<u>579,383</u>
Net increase in partners capital from operations	\$ <u>419,448</u>

The accompanying notes are an integral part of these financial statements.

Castanea Partners Fund III, L.P.
Statement of Changes In Partners' Capital
For the year ended June 30, 2025

	<u>Limited Partners</u>	<u>General Partner</u>	<u>Total</u>
PARTNERS' CAPITAL — July 1, 2024	\$ 12,765,066	\$ (2,218,454)	\$ 10,546,612
Distributions	(10,500,000)	\$ -	(10,500,000)
Return of tax distribution	66,796	675	67,471
Net realized gain	188,136	1,900	190,036
Change in unrealized depreciation	573,589	5,794	579,383
Net investment loss	(349,971)	-	(349,971)
Allocation of carried interest	<u>(39,919)</u>	<u>39,919</u>	<u>-</u>
PARTNERS' CAPITAL — June 30, 2025	<u>\$ 2,703,697</u>	<u>\$ (2,170,166)</u>	<u>\$ 533,531</u>

The accompanying notes are an integral part of these financial statements.

Castanea Partners Fund III, L.P.
Statement of Cash Flows
For the year ended June 30, 2025

Cash flows from operating activities:

Net increase in partners' capital from operations	\$ 419,448
Adjustments to reconcile net increase in partners capital from operations to net cash provided by operating activities:	
Net change in unrealized depreciation of portfolio investments	(579,383)
Net realized gain on portfolio investments	(190,036)
Increase in accrued professional fees	197,545
Proceeds from portfolio investments	769,419
Decrease in tax receivable	<u>582,130</u>
Net cash provided by operating activities	1,199,123

Cash flows from financing activities:

Distributions	(10,500,000)
Return of tax distribution	<u>67,471</u>
Net cash used in financing activities	(10,432,529)
Net change in cash and cash equivalents for the year	(9,233,406)
Cash and cash equivalents at beginning of the year	<u>9,989,036</u>
Cash and cash equivalents at June 30, 2025	<u>\$ 755,630</u>

The accompanying notes are an integral part of these financial statements.

CASTANEA PARTNERS FUND III, L.P.

NOTES TO FINANCIAL STATEMENTS AS OF AND FOR THE YEAR ENDED JUNE 30, 2025

1. ORGANIZATION

Castanea Partners Fund III, L.P. (the "Partnership") is a limited partnership organized under the laws of the State of Delaware pursuant to an Amended and Restated Agreement of Limited Partnership (the "Agreement") dated July 13, 2007, and amended March 15, 2008 and June 30, 2010. Certain capitalized terms throughout these financial statements are defined in the Agreement. The Partnership's principal activity is to make investments in equity and other interests in business organizations with the principal objective of appreciation of capital invested.

Castanea Partners Fund GP III, LLC is the general partner of the Partnership (the "General Partner") and is responsible for advising the Partnership on the identification, evaluation, structuring, and negotiation of investment and divestment transactions with respect to portfolio investments. The General Partner is also responsible for administering the day-to-day operations of the Partnership. The General Partner has engaged Castanea Partners, Inc., (the "Management Company") as management company to the Partnership to perform the responsibilities described above. See Note 4 regarding the management fee.

As of June 30, 2025, the General Partner and its affiliates (together, the "GP Investors") have committed \$82,000,000 to the investment program of the Partnership in accordance with Section 8.2.1 of the Agreement. Such commitments may be satisfied by making capital contributions to the Partnership or its parallel funds, through coinvestments alongside the Partnership, or by utilizing waived fee obligations. The portion committed to the parallel funds and coinvestments (thus, not included in these financial statements) is referred to herein as the GP Investor Non-Fund Commitment, and represented \$77,664,646 as of June 30, 2025.

The combined committed capital to the Partnership and the GP Investor Non-Fund Commitment was \$511,200,000 as of June 30, 2025.

The term of the Partnership ended on December 31, 2021. The Partnership has commenced the orderly liquidation of its remaining assets in the manner set forth in the Agreement.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Accounting — The accompanying financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is an investment company and accordingly, follows the investment company accounting and reporting guidance in accordance with GAAP.

Portfolio Investments — Investments are reflected on the Balance Sheet at fair value with changes in unrealized appreciation and depreciation resulting from changes in fair value reflected in the Statement of Operations as “net change in unrealized appreciation of portfolio investments.” See Note 3 regarding fair value measurements.

Valuation Techniques and Process — In the absence of observable market prices, the Partnership values its investments at fair value using valuation methodologies applied on a consistent basis. The General Partner’s determination of fair value is then based on the best information available in the circumstances, and may incorporate the General Partner’s own assumptions (including assumptions the General Partner believes market participants would use in valuing the investment) and involves a significant degree of judgment, taking into consideration a combination of internal and external factors, including the appropriate risk adjustments for nonperformance and liquidity risks.

Fair value is determined by reference to information including the following: projected sales; net earnings; earnings before interest; taxes; depreciation, and amortization (EBITDA); projected cash flows; public market or private transactions; valuations for comparable companies; recent purchases of the same or similar securities; and consideration of any other pertinent information including the types of securities held and restrictions on disposition. Valuations may be derived using present values or the discounted cash flow method and by reference to observable valuation measures for comparable companies or transactions (for example, multiplying a key performance metric of the investee company, such as EBITDA, by a relevant valuation multiple observed in the range of comparable companies or transactions), adjusted by the General Partner for differences between the investment and the referenced comparables. Investments may also be valued at cost for a period of time after an acquisition, as the best indicator of value.

The valuation process entails valuing investments on a quarterly basis, taking into consideration any changes in the Partnership’s discounted cash flow projections and exit multiple assumptions, as well as any changes in economic or other relevant conditions, and valuation models are updated accordingly. The valuations are reviewed internally by a valuation committee, which consists of the managing partners and the chief financial officer.

Due to the absence of readily determinable fair values and the inherent uncertainty of valuations, the estimated fair values for private investments may differ significantly from values that would have been used had a ready market for the securities existed, and the differences could be material.

The values assigned to investments are based upon available information and do not necessarily represent amounts that might ultimately be realized, since such amounts depend on future circumstances and cannot be reasonably determined until the individual positions are liquidated.

Investment Income — Interest income is recorded on an accrual basis.

Cash and Cash Equivalents — The Partnership defines cash equivalents as all highly liquid investments with an original maturity of three months or less. The Partnership maintains all its cash and cash equivalents balances with one financial institution. These balances may fluctuate significantly during the year. The Fund maintains its cash and cash equivalents with one financial institution. At times, such balances may exceed the FDIC insurance limits.

Professional Fees— In accordance with Section 6.1 of the Agreement, the Partnership shall pay all reasonable expenses of legal, accounting, audit, investment banking, tax preparation, consulting, research, due diligence, and other professional services to the Partnership, to the extent that they are not reimbursed by entities in which the Partnership invests or proposes to invest. These expenses are recognized as services are incurred.

Income Taxes— No provision for income taxes has been made in the accompanying financial statements, as the partners are individually responsible for reporting income or loss based on their respective share of the Partnership's income or expenses for income tax purposes. The Partnership files U.S. federal and state tax returns. The tax years of 2022, 2023, and 2024 of the Partnership remain subject to examination by U.S. federal and state tax authorities.

The Partnership follows the *Income Taxes* topic of the Financial Accounting Standards Board Accounting Standards Codification (ASC), which clarifies the accounting for uncertainty in income taxes recognized in an entity's financial statements, and prescribes a recognition threshold and measurement attribute for financial statement recognition and measurement of a tax position taken, or expected to be taken. At June 30, 2025, there were no reserves recorded for uncertain tax positions.

Indemnifications and Guarantees— The General Partner, on behalf of the Partnership, enters into certain arrangements that contain a variety of indemnifications. The Partnership's maximum exposure under these arrangements is unknown. The Partnership has not had prior claims or losses pursuant to these contracts.

Use of Estimates— The preparation of financial statements in accordance with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of income and expenses during the reporting year. Actual results could differ from those estimates and the differences could be material.

Subsequent Events— In connection with the preparation of the financial statements of the Partnership as of and for the year ended June 30, 2025, events and transactions subsequent to June 30, 2025 through October 29, 2025, the date when the financial statements were available to be issued, have been evaluated by the Partnership's management for possible adjustments and disclosure. No subsequent events requiring financial statement adjustment or disclosure have been identified.

3. INVESTMENTS

Fair Value Measurements— GAAP establishes a fair value hierarchy which prioritizes and ranks the level of market price observability used in measuring investments at fair value. Market price observability is impacted by a number of factors, including the type of investment, the characteristics specific to the investment, and the state of the marketplace, including the existence and transparency of transactions between market participants. Investments with readily available actively quoted prices or for which fair value can be measured from actively quoted prices in an orderly market will generally have a higher degree of market price observability and a lesser degree of judgment used in measuring fair value.

Investments measured and reported at fair value are classified and disclosed in one of the following categories based on inputs:

Level I — Quoted prices are available in active markets for identical investments as of the reporting date. The types of investments which generally would be included in Level I include listed equity securities and listed derivatives. As required by GAAP, the Partnership, to the extent that it holds such investments, does not adjust the quoted price for these investments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price.

Level II — Pricing inputs are observable for the investments, either directly or indirectly, as of the reporting date, (including quoted prices for similar securities, interest rates, prepayment speeds and credit risk), but are not the same as those used in Level I. Fair value is determined through the use of models or other valuation methodologies. The types of investments which generally would be included in this category include publicly traded securities with restrictions on disposition.

Level III — Pricing inputs are unobservable for the investments and include situations where there is little, if any, market activity for the investments. The inputs into the determination of fair value require significant judgment or estimation by the General Partner. The types of investments which generally would be included in this category include debt and equity securities issued by private entities.

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, the determination of which category within the fair value hierarchy is appropriate for any given investment is based on the lowest level of input that is significant to the fair value measurement. The Partnership's assessment of the significance of a particular input to the fair value measurement in its entirety requires judgment and considers factors specific to the investment. For the year ended June 30, 2025, there were no transfers between levels. At June 30, 2025, the remaining investment held was considered to be a Level III investment.

4. RISKS

The Partnership's investing activities expose it to various types of risk that are associated with the financial assets and liabilities and markets in which it invests. The significant types of financial risks to which the Partnership is exposed include, but are not limited to, market risk, liquidity risk, price risk, concentration risk and credit risk.

Certain Aspects of those risks are addressed below:

(A) Market Risk

The Partnership's portfolio companies may be unseasoned, unprofitable and/or have no established operating history or earnings. These companies may also lack technical, marketing, financial and other resources, or may be dependent upon the success of one product or service, a unique distribution channel, or the effectiveness of a manager or management team. The failure of this one product, service or distribution channel, or the loss or the ineffectiveness of a key executive or executives within the management team may have a materially adverse impact on such companies. Furthermore, those companies

may be more vulnerable to competition and to overall economic conditions than larger, more established entities.

(B) Liquidity Risk

Liquidity risk is the risk that the Partnership will encounter difficulty in meeting obligations associated with financial liabilities or contingent liabilities. Among other things, liquidity could be impaired by an inability to access secured and/or unsecured sources of financing or the failure of Limited Partners to meet capital calls. As of June 30, 2025, the Partnership has a total Capital commitment from its Limited Partners of \$429,200,000, of which \$28,792,538 is outstanding.

(C) Price Risk

The Partnership's investments are long-term and highly illiquid, and there is no assurance that the Partnership will be able to sell the investment securities or achieve its investment objective.

(D) Concentration Risk

Financial assets and liabilities, which potentially subject the Partnership to concentration of credit risks, consist primarily of cash and cash equivalents and portfolio investments. The partnership maintains its cash and cash equivalents with one financial institution. At times, such balances may exceed the FDIC insurance limits. The Partnership maintains certain cash balances in accounts that make overnight investments secured by the U.S. Treasury Securities under repurchase agreements. The principal and interest are credited to the Partnership's accounts on the following business day. Default on investment or of the U.S. federal government may adversely affect the availability and collectability of these funds. The Partnership may at times also have risk in the geographic and industry concentration of its investment in portfolio companies.

(E) Credit Risk

Credit risk is the risk that counterparties to an investment or financial instrument will cause a financial loss to the other party by failing to discharge an obligation. The partnership's investment may involve the acquisition of debt or other securities which are subject to credit risk and potential default in the payment of principal or interest on the security.

5. MANAGEMENT FEE

In accordance with Section 6.2 of the Agreement, the Partnership shall pay an annual management fee (the "Management Fee") to the Management Company. The Management Fee is governed by an Investment and Advisory Agreement (the "Advisory Agreement") between the Partnership and the Management Company, which describes the services to be rendered and the method for calculating the fee. The Advisory Agreement further states that the Management Fee will not exceed, on an annualized basis, 2.5% of the aggregate amount of the capital commitments to the Partnership for periods prior to the commitment termination date, nor will it exceed, on an annualized basis, 1.5% of the Remaining Capital Base for the periods on and after the Commitment Termination Date. Effective July 1, 2023, the Management Company no longer charged a Management Fee.

6. ALLOCATIONS AND DISTRIBUTIONS

Pursuant to the terms of the Agreement, the timing of distributions made by the Partnership will be determined by the General Partner in its sole discretion; provided, however, that proceeds received from the sale or exchange of all or a portion of a portfolio investment will be distributed within 90 days of receipt by the Partnership and that other portfolio income received in cash will be distributed at least annually. The General Partner has the right to reduce these and other distributions, in its discretion, to pay or provide reserves for fees, expenses, and liabilities of the Partnership.

Distributions of proceeds from the disposition of the Partnership's portfolio investments and other income attributable to those investments will initially be apportioned among the Partners in proportion to their relative actual contributions with respect to such portfolio investment.

During any period in which the Fair Value Test is satisfied, the amounts distributed to Limited Partners according to the preceding paragraph will be reapportioned as follows:

- a) First, 100% to the Limited Partners in an amount equal to their unrecouped capital contributions to date
- b) Second, 100% to the Limited Partners in an amount equal to their preferred returns as of such date
- c) Third, 100% to the General Partner until cumulative distributions to the General Partner pursuant to this clause (c) equal 20% of the total cumulative distributions pursuant to clause (b) above and this clause; and
- d) Thereafter, 20% to the General Partner and 80% to the Limited Partners

The Fair Value Test will be satisfied if, at the time of a proposed distribution, the net asset value of the Partnership reduced by the proposed distribution is at least equal to 120% of the excess of the actual contributions of Limited Partners over the amount of the proposed and all previous distributions made to the Limited Partners. The Fair Value Test will also be satisfied during any period in which Limited Partners have received distributions, since inception of the Partnership, at least equal in the aggregate to their actual contributions.

The Partnership may make tax distributions in cash to each partner in amounts intended to enable taxable partners to defray their income tax liability attributable to their participation in the Partnership.

Distributions of income earned from short-term investments will be made to all partners in proportion to their respective capital contributions that generated such income.

General Partner Clawback — If, after the Partnership has made its final liquidating distribution, the General Partner has received cumulative carried interest distributions in excess of its target carried interest, the General Partner will return to the Partnership the amount of that excess, net of any taxes. The General Partner agrees to cause each of its members to execute a guarantee in favor of the Partnership providing that such member shall be personally liable for such member's share of such contribution obligation (it being understood that no such member shall have any liability in respect of any other such member's share of such contribution obligation). At June 30, 2025 the General Partner Clawback is

reflected in the capital account of the general partner as presented on the Statement of Changes in Partners' Capital.

Allocations — The income, expenses, gains, losses, deductions and credits of the Partnership shall be allocated for income tax purposes among the partners so as to conform, in the judgment of the General Partner, as nearly as practicable with the related distributions.

7. FINANCIAL HIGHLIGHTS

In accordance with financial reporting requirements applicable to all investment companies, including funds that are exempt from registration requirements, the Partnership has included below certain financial highlight information.

The ratios and internal rate of return ("IRR") are calculated based on the Limited Partner group taken as a whole. The General Partner interest is excluded from the calculations. Unrealized appreciation (or depreciation), if any, has been included in the computation of financial highlights and IRR.

Expenses to average Limited Partners' capital (excluding monitoring fee offset)	2.9 %
Expenses to average Limited Partners' capital (including monitoring fee offset)	2.9 %
General Partner carried interest to average Limited Partners' capital	0.3%
Expenses and carried interest to average Limited Partners' capital	3.2 %
Net investment loss to average Limited Partners' capital	(2.9)%

The cumulative IRR of the Limited Partners is 6.5% through June 30, 2025, and 6.5% through June 30, 2024. The IRR was computed based on the actual dates of the cash inflows, cash outflows, and the ending partners' capital attributable to the Limited Partners at the end of the period.

The unfunded commitment to the Partnership was \$29,919,317 as of June 30, 2025.

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